

for all acquisitions and all new financing. Similar steps are in prospect to regulate present railroad holding companies and to prevent creation of new ones.⁵

We may say with some confidence that the spectacle of the Van Sweringen debacle succeeding the Rock Island Company debacle is not likely to be duplicated in the future. The industrial field never offered the same romantic possibilities for high finance as were found among the rails and utilities, but it may well be that the ingenious talents of promoters and financial wizards will be directed towards the industrials in the future. The investor and the analyst should be on their guard against such new dazzlements.

⁵ See Senate Resolution 71 of the 74th Congress and 21 volumes of hearings thereon which have appeared to date (December 1939). See also Senate Report No. 180, 75th Congress, 1st Session, and Senate Report No. 25, pts. 1, 4 and 5, 76th Congress, 1st Session.